

SUBSCRIPTION AGREEMENT REVIEW

Version 1.0 | SAMPLE / DUMMY DATA

PARTIES

Client ClearEdge Enterprises LLC, a Delaware limited liability company

Vendor Apex Technology Solutions Inc., a California corporation

Effective Date August 31, 2025

Expiration Date December 31, 2026

Total Contract Value USD \$120,000 annually

1. AGREEMENT DETAILS

Vendor will provide a cloud-based procurement management platform, including vendor directory, sourcing workflows, contract management, reporting, API access, technical support, and standard maintenance. The subscription covers up to 250 named users and 50,000 vendor records.

2. PAYMENT TERMS

Client shall pay Vendor within 30 days of receipt of a valid invoice. Vendor shall invoice quarterly in advance. Late payments may accrue interest at 1.5% per month on the outstanding balance.

3. CONTRACT VALUE

The annual subscription rate is **USD \$120,000**. Based on the revised initial term of August 31, 2025 through December 31, 2026, the illustrative 16-month base subscription value is **USD \$160,000**, before additional-user charges.

Plain English: This section summarizes the commercial effect of the provision for business stakeholders.

4. NOTICE PERIOD

Either party must provide at least **60 days' written notice** before the end of the then-current term to prevent automatic renewal. For the current term, the expiration date is December 31, 2026.

5. TERMINATION FOR CONVENIENCE

Client may terminate the Agreement for convenience upon **90 days' written notice**. Fees paid for the current billing quarter are non-refundable.

6. LIMITATION OF LIABILITY

Each party's aggregate liability is capped at the greater of **USD \$240,000 or two times the fees paid or payable during the preceding 12 months**. Data-security and privacy claims remain subject to the general cap.

7. INSURANCE REQUIREMENTS

Vendor shall maintain commercial general liability insurance of USD \$2,000,000, professional/errors-and-omissions insurance of USD \$2,000,000, and cyber/privacy liability insurance of USD \$3,000,000.

8. SLA / UPTIME

Vendor guarantees monthly service availability of **99.9%**. If uptime falls below 99.0% for two consecutive months, Client may terminate without early termination fees.

9. WARRANTY

Vendor warrants that the platform will materially conform to its published documentation and that professional services will be performed in a professional and workmanlike manner.

10. PRICE INCREASE CAP

Vendor may increase subscription fees upon renewal by no more than **5% per renewal year**, with at least 90 days' advance written notice.

11. TERMINATION FOR CAUSE

Either party may terminate for a material breach that remains uncured for **30 days** after written notice.

12. AUTO RENEWAL

The Agreement automatically renews for successive **one-year terms** unless either party provides written notice of non-renewal at least **60 days** before the end of the then-current term.

Plain English: This section summarizes the commercial effect of the provision for business stakeholders.

13. INDEMNIFICATION

Vendor shall defend and indemnify Client against third-party claims alleging that the subscription service infringes a United States patent, copyright, or trademark, and for claims arising from Vendor's gross negligence or willful misconduct.

14. DATA OWNERSHIP

Client retains all right, title, and interest in Customer Data. Vendor may process Customer Data only as necessary to provide, secure, maintain, and support the services. Upon termination, Vendor shall provide a 30-day export period and delete production copies within 60 days.

15. CONFIDENTIALITY

Each party shall protect the other party's Confidential Information using at least reasonable care. Confidentiality obligations survive termination for **five years**, while trade secrets remain protected for so long as they qualify as trade secrets.

16. EXCLUSIVITY

The Agreement contains **no exclusivity obligation**. Client may purchase competing procurement or contract-management services from other providers during the term.

17. FREIGHT TERMS

Not Applicable. The subscription is a digital SaaS service and does not involve physical goods, freight, shipping, or transfer of physical title.

18. INTELLECTUAL PROPERTY

Vendor retains ownership of its platform, software, documentation, APIs, methodologies, and pre-existing technology. Client retains ownership of Customer Data and Client materials.

19. GOVERNING LAW

The Agreement shall be governed by the laws of the **State of Delaware**, with disputes handled in state or federal courts located in Delaware.

20. PLAIN-ENGLISH EXECUTIVE SUMMARY

Term: The agreement runs from August 31, 2025 through December 31, 2026.

Commercial commitment: The annual subscription rate is \$120,000. The illustrative 16-month base value is \$160,000.

Renewal: The agreement automatically renews annually unless 60 days' notice is provided.

Pricing: Renewal increases are capped at 5%.

Service level: Apex commits to 99.9% uptime.

Data: ClearEdge owns its data and Apex cannot sell it or use it for targeted advertising.

Liability: General liability is capped at the greater of \$240,000 or 2x prior-year fees; data-security claims remain under the general cap.

21. IDENTIFIED RISKS

HIGH — Data Security Liability: Data-security/privacy claims remain subject to the general liability cap.

MEDIUM — Additional User Charges: Users above 250 are billed at \$40 per user per month.

MEDIUM — Auto Renewal: The 60-day notice deadline requires active contract management before December 31, 2026.

LOW — Warranty Remedy: The primary remedy is correction or workaround.

22. STANDARD CLAUSE LIBRARY COMPARISON

Limitation of Liability: Vendor has a \$240,000 / 2x-fees cap. Standard position should consider enhanced protection for data/security claims. **Assessment: Partial Match — High Risk.**

Price Increase Cap: Vendor allows 5% per renewal. **Assessment: Match — Low Risk.**

SLA / Uptime: Vendor commits to 99.9% uptime with chronic-failure termination. **Assessment: Match — Low Risk.**

Auto Renewal: One-year renewal with 60-day notice. **Assessment: Match — Medium Operational Risk.**

Data Ownership: Client owns Customer Data and Vendor use is restricted. **Assessment: Match — Low Risk.**

Intellectual Property: Vendor owns platform; Client owns data/materials. Custom deliverable treatment should be confirmed. **Assessment: Partial Match — Medium Risk.**

23. OVERALL RISK ASSESSMENT

Overall Rating: MEDIUM RISK / NEGOTIABLE

Primary negotiation priority is the liability treatment for data-security/privacy claims. Secondary items include additional-user charges, warranty remedies, custom IP treatment, and renewal administration.

24. APPROVAL CHECKLIST

- Confirm August 31, 2025 effective date
- Confirm December 31, 2026 expiration date
- Confirm \$120,000 annual rate and \$160,000 illustrative 16-month base value
- Calendar the 60-day renewal notice deadline
- Negotiate higher cap for data-security/privacy claims
- Confirm SLA and chronic-failure remedy
- Confirm data export/deletion process
- Confirm custom IP treatment
- Confirm Delaware governing law/venue is acceptable